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'We get it': Democrats aim to cut California's cost of living in 2025

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As California lawmakers returned Monday to Sacramento for the legislative session, Democrats acknowledged a clear message from voters: California's sky-high cost of living needs to drop back down to Earth.

"We get it," Democratic state Sen. Dave Cortese said. "The Democratic Party, has, in effect, just been called out by the voters on that issue."

The state's Democrats say they'll focus this year on making California more affordable, and party leaders are increasingly railing on the high costs of staples such as groceries and home electricity bills.

The reason? Even though Democrats kept their supermajorities in both houses of the Legislature after November's election, anxiety about inflation helped Republicans make significant inroads with working class voters in California, including in the heavily Democratic Bay Area. And in the Legislature, the GOP gained three seats.

Gov. Gavin Newsom called a special session of the Legislature to quickly budget tens of millions of dollars for anticipated legal battles with the incoming administration of Republican president-elect Donald Trump. That special session will play out at the same time as the regular session, but will likely end earlier. Both sessions began on Dec. 2.

Cortese, who represents much of Santa Clara County, said voters made it clear that affordability is their "priority number one."

Lawmakers will take up plans on housing, electricity bills, home insurance, grocery costs and more, Bay Area Democrats told this news organization. In the Senate, a select group of legislators will form a work group focused on affordability, which will study and release a package of bills this year, Cortese said.

"The watch word will be affordability," said Thad Kousser, professor of political science at the University of California, San Diego. "The Legislature and the Governor will be looking for any route they can toward addressing that in the short term and the long term."

Although state Democrats are in lock step about their priorities this year, party leaders are tight-lipped so far. A spokesperson for Senate President Mike McGuire did not make him available for an interview.

Yet Democrats have already introduced some affordable-minded measures. Another effort to cut gas prices, Assembly Bill 30, would direct the California Air Resources Board to blend more ethanol into gasoline. Assembly Bill 6 would direct a state agency to study construction standards that drive up home building costs and possibly recommend relaxed rules.

As in years past, Republicans don't have nearly enough votes to halt Democrats' plans for at least the next two years. Sen. Brian Jones, the Republican minority leader in the state Senate, may find common ground this session with Democrats on affordability issues, he said, but he isn't afraid to dissent.

"When they're working on issues that are harmful to Californians, we're going to fight 'em, and we're going to present our solutions," he said.

So far, Republicans are pushing plans to reverse controversial amendments to a state air pollution program, which are expected to further raise gas prices, and cut taxes on gas and electricity.

McGuire and Assembly Speaker Robert Rivas told CalMatters last month that affordable housing and services for California's growing population of unhoused people will be top of mind this session, as well as electricity bills.

"Obviously, homelessness has been on the top of everyone's mind here in the Bay Area for a very long time," said Sen. Josh Becker of Menlo Park, who chairs the Bay Area Caucus.

This session, Becker said he plans to advance "interim housing" solutions that temporarily provide shelter for unhoused people. That will probably include a follow-up bill to Senate Bill 1395, a law now in effect that seeks to ramp up construction of tiny homes by exempting them from the California Environmental Quality Act, he said.

Becker also plans to combat rising home power bills and help shore up insurance coverage for homes in wildfire-prone areas. Last month, California Insurance Commissioner Ricardo Lara unveiled a regulation to restore coverage that could allow home insurers to drive up rates by up to 50%. A spokesperson said Becker, who sits on the Senate's insurance committee, plans to monitor the new regulations and "step in" later this year if they're not making insurance more affordable or accessible.

"I'm getting outreach from people who are completely losing coverage," said Becker, whose district includes the Santa Cruz Mountains. "That's kind of existential. Making sure they're covered is job one."

Sen. Scott Wiener of San Francisco has already introduced two bills to cut health care costs for patients. Senate Bill 40 would cap copays for insulin at $35 for a month supply, and Senate Bill 41 would regulate pharmacy benefit managers — middlemen that influence the cost and availability of medicines.

"Democrats need to show we can deliver real results on affordability," Wiener said in an emailed statement. "That's true on healthcare — there is no reason that California should be lagging behind red states like West Virginia and Florida on delivering affordable insulin and other prescription drugs."

Wiener also introduced the Budget Act of 2024, which would release $60 million for litigation against the federal government and legal representation for undocumented immigrants. That's more than double Newsom's original ask of $25 million, which was introduced in the Assembly by Jesse Gabriel of Encino. The main package for the special session, Newsom says the funding is intended to defend Californians from the Trump administration's policies on reproductive rights, climate change, immigration and more.

Jones said he is "absolutely opposed." In a news release Monday, Jones said "our job is to fix California and the everyday problems our constituents face," and implored lawmakers "to step back from the national scene and concentrate on delivering results for our state."

Beyond "Trump-proofing" California policies and affordability, lawmakers also plan to introduce a slew of bills on a wide range of topics during the new legislative session, from artificial intelligence to education and constitutional conventions. Lawmakers had introduced nearly 180 bills as of Jan. 5.

Among them is a placeholder bill introduced by Assemblyman Marc Berman, a Menlo Park Democrat, to speed up California's notoriously slow vote count process, which stretched on for weeks this year.

"Details still to come," Berman said.

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